

space that was recently acquired by the Tatas, has a good experience to share. “Our prospective investors had significant issues with visas. The Invest India team facilitated direct conversation with the requisite ministries to ensure that the investors got quick entry,” says Tata 1mg CEO Prashant Tandon. Amitabh Kant, India’s G20 Sherpa, says softer elements are crucial to attracting investors. “They have done a remarkable job of projecting, promoting and putting India on the global map,” he says.

Invest India also helps out ministries in their work. For instance, the women and child development ministry. “From developing an indigenised version of the Global Gender Gap Index to financial and technical monitoring of the ministry’s research projects, Invest India’s DRISHTI [research] team has been supporting the ministry’s core mandate,” says Women and Child Development Minister Smriti Z. Irani.

34 | Despite the pandemic, India’s FDI story continued as Reliance Industries attracted investors like Facebook, General Atlantic, KKR, and Google for a \$26-billion-plus stake sale in Jio Platforms and Reliance Retail Ventures. “Jio’s transactions certainly helped keep the FDI at a record level,” agrees Samir Sheth, Partner & Head of Deal Advisory Services at BDO India. Bagla is proud of the Startup India mission, which was launched in January 2016, and came under the Invest India fold from Day One. “We had 450 start-ups at that time. Today, we have [over] 81,000 start-ups and 107 unicorns,” he says.

A YEAR AGO, Taiwanese giant Foxconn was scouting for potential locations. When India decided to provide incentives for creating a global hub for semiconductors, the electronics major set its eyes on the country. Soon after, states like Maharashtra, Karnataka, Tamil Nadu, Telangana and Gujarat began courting it. Finally,



‘GOOD ECONOMICS IS AT THE CENTRE OF GOOD POLITICS’

Invest India MD & CEO Deepak Bagla on competitive federalism, start-ups and more

BY SOURAV MAJUMDAR, ANAND ADHIKARI and RAJAT MISHRA

INVEST INDIA, THE country’s investment promotion agency, acts as a catalyst for foreign direct investment (FDI) into India. Its recent successes have led to the World Bank creating a case study on it, says Deepak Bagla, MD & CEO of Invest India. The agency also has additional responsibility of Startup India and the Prime Minister’s science and technology initiative. Bagla, who has had stints with the World Bank and Citibank and is the current President of the World Association of Investment Promotion Agencies (WAIPA), speaks on a range of issues in an interaction with BT. Edited excerpts:

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What are the significant highlights of Invest India in the past few years?

The most interesting thing, and it’s ironic, is that starting up a business in India was complex for foreign investors, and yet India did not have an investment promotion agency

(IPA). Every other country in the world had one, especially if you look at the top 20 FDI destinations. There are two aspects to it. One is that it provides facilitation to the investor to handle everything. More importantly, it is a message to foreign investors that the government welcomes them. And that is what you were looking at when the honourable Prime Minister said: “I want to turn the red tape into a red carpet.” This is the red carpet.

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We have states vying with each other for FDI. Competitive federalism is very valid now...

In a recent election in a state in northern India about two or three years ago, there was a full-page ad that said ‘we are No. 1 in ease of doing business in northern India’. The day that happens, you realise that good economics is at the centre of good politics. That is a big change, which has been brought about by the current